

THE BIOLOGICAL DIVERSITY ACT, 2002 (ACT NO. 18 OF 2003)

CHAPTER I: PRELIMINARY

An Act to provide for conservation of biological diversity, sustainable use of its components and fair and equitable sharing of the benefits arising out of the use of biological resources, knowledge and for matters connected therewith.

Section 1: Short title, extent and commencement. (2) It extends to the whole of India.

Section 2: Definitions:

(c) "biological resources" means plants, animals and micro-organisms or parts thereof, their genetic material and by-products (excluding value added products) with actual or potential use or value, but does not include human genetic material;

(f) "commercial utilisation" means end uses of biological resources for commercial utilisation such as drugs, industrial enzymes, food flavours, fragrance, cosmetics, emulsifiers, oleoresins, colours, extracts and genes;

(g) "fair and equitable benefit sharing" means sharing of benefits as determined by the National Biodiversity Authority under section 21.

CHAPTER II: REGULATION OF ACCESS TO BIOLOGICAL DIVERSITY

Section 3: Certain persons not to undertake Biodiversity related activities without approval of National Biodiversity Authority:

(1) No person referred to in sub-section (2) shall, without previous approval of the National Biodiversity Authority, obtain any biological resource occurring in India or knowledge associated thereto for research or for commercial utilisation or for bio-survey and bio-utilisation.

(2) The persons required to take approval of NBA:

(a) a person who is not a citizen of India;

(b) a citizen of India who is a non-resident as defined in clause (30) of section 2 of Income-tax Act, 1961;

(c) a body corporate, association or organisation not incorporated or registered in India, or incorporated in India with non-Indian participation in share capital or management.

Section 4: Results of research not to be transferred to certain persons without approval of National Biodiversity Authority.

Section 5: Section 3 and 4 not to apply to collaborative research projects between Indian and foreign institutions conforming to Central Government guidelines.

CHAPTER II (Continued) & CHAPTER III

Section 6: Application for intellectual property rights not to be made without approval of National Biodiversity Authority:

(1) No person shall apply for any intellectual property right, by whatever name called, in or outside India for any invention based on any research or information on a biological resource obtained from India without obtaining the previous approval of the National Biodiversity Authority before making such application.

Provided that if a person applies for a patent, permission of the National Biodiversity Authority may be obtained after the acceptance of the patent but before the sealing of the patent by the patent authority concerned.

(2) The National Biodiversity Authority may, while granting the approval under this section, impose benefit sharing fee or royalty or both or impose conditions including the sharing of financial benefits arising out of the commercial utilisation of such rights.

(3) The provisions of this section shall not apply to any person making an application for any right under any law relating to protection of plant varieties.

Section 7: Prior intimation to State Biodiversity Board for accessing biological resource for certain purposes:

No person who is a citizen of India or a body corporate registered in India shall obtain any biological resource for commercial utilisation, or bio-survey and bio-utilisation for commercial utilisation except after giving prior intimation to the State Biodiversity Board concerned.

Provided that this section does not apply to local people and communities of the area, including vairs and hakims.

CHAPTER IV & V: FUNCTIONS AND APPROVALS BY NBA

Section 18: Functions and powers of National Biodiversity Authority:

- (1) It shall be the duty of the NBA to regulate activities referred to in sections 3, 4 and 6 by granting or rejecting approvals.
- (2) Advise Central Government on matters relating to conservation and sustainable use and benefit sharing.
- (4) Oppose the grant of intellectual property rights in any country outside India on any biological resource obtained from India or knowledge associated thereto.

Section 19: Approval by National Biodiversity Authority for undertaking certain activities:

Application in prescribed form for access, commercial utilization, bio-survey, or IPR.

Section 21: Determination of fair and equitable benefit sharing by National Biodiversity Authority:

Formulas for benefit sharing: grant of joint ownership of IPR to NBA or benefit claimers; transfer of technology; location of production units; association of Indian scientists; venture capital fund; payment of monetary compensation.

CHAPTER X & XI: BMCs AND LOCAL BIODIVERSITY FUND

Section 41: Constitution of Biodiversity Management Committees (BMCs):

Every local body shall constitute a Biodiversity Management Committee within its area for the purpose of promoting conservation, sustainable use and documentation of biological diversity including preservation of habitats, conservation of landraces, folk varieties and cultivars, domesticated stocks and breeds of animals and microorganisms and chronicling of knowledge relating to biological diversity (People's Biodiversity Register / PBR).

The National Biodiversity Authority and the State Biodiversity Boards shall consult the Biodiversity Management Committees while taking any decision relating to the use of biological resources and knowledge associated with such resources occurring within the territorial jurisdiction of the Biodiversity Management Committee.